

Outlook

From	gugu.mabena@finance.recon.keystonebank.co.za
To	analytics.retail@keystonebank.co.za
Cc	collections.ops@keystonebank.co.za, credit.risk.retail@keystonebank.co.za
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Collections says paid; Finance still sees arrears - 2024 control review

Morning,

I need help with something that sounds simple but probably is not.

Collections and Finance are using different notions of a successful recovery, especially when payments arrive after the promised date or through another channel. Failure anecdotes are beginning to drive decisions, although retries and late posting may be making the problem look larger than the affected-customer population.

The questions I would ask in the room are:

1. What would we expect to see if partial cures are being reported as full cures?
2. What evidence would instead support that late payments are being treated as broken promises?
3. How do we rule out that a payment reaches the account but not the collections case?

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use January 2024 as the new evidence point rather than recycling the earlier conclusion. Please work towards the definition of cure and the exception queue that Finance and Collections will both use. A useful output would be a control view with the exceptions, owner and reason each item was included.

Use collections cases, promises to pay and recovery payments; transaction-level timestamps, channels, amounts, statuses and error context; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields. One caution: The data can reconcile customer and case activity, but not the accounting ledger entry.

Regards